IBC – QUESTION BANK ANSWERS

1. **Write short note on Fresh Start Process.**

The fresh start process is enshrined under Chapter II of Part III of the code. The fresh start process an opportunity for a debtor who is unable to pay his debts to clear off his debts in a time-bound manner on fulfilling the prescribed condition for the fresh start of his qualifying debts. Since the essence of the code is to have a time-bound process and so on this note the time lag for completion of entire process of fresh start is 180 days, to be counted from the date of admission of application for the fresh start process.

The intent of fresh start process to provide debtors with comparatively small debts a chance to discharge off their debts and restart afresh without any liability. The fresh start process is an alternative to the insolvency and bankruptcy processes. To prevent and curb the abuse of this debtor centric process, the code has aligned certain restrictions on the applicability and validity of fresh start process."

For availing and undergoing the fresh start process, the first step is to satisfy the essential prerequisites related to fresh start process. Once all the prerequisites are met, an application may be submitted either by the debtor himself or by the resolution professional on behalf of the debtor. Pursuant to this, the code provides for an evaluation of the application by resolution professional, followed by a decision on its acceptance or rejection by the Debt Recovery Tribunal within 14 days of receiving the resolution professional's recommendations on the application.

Here the application is accepted by the DRT, the code provides for legal protection from both current as well as future legal proceedings against the applicant/debtor for a period of 180 days from the date of admission of application. However, importantly the code provides the creditors in such a situation that bestows on them a right to object any of the facts/grounds listed in an accepted application for fresh start.

Such objections shall be submitted by the creditors to the resolution professional who shall then evaluate the accuracy and the importance of such objections. During the process, the resolution professional shall act as the main point of communication between the parties involved (Debtor/Creditor) and DRT. In the event of any change in financial circumstances which could make DRT change its decision on whether to accept or reject the initial application, then it shall be the duty of resolution professional to ensure that DRT is informed of the relevant change.

Finally after resolution professional has reviewed all the qualifying debts and compiled a final list of these qualifying debts then the DRT shall pass on order to discharge the debtors from all of the obligations with respect to these debts. Once the order is passed, then the fresh

start process shall ultimately come to end thereby providing much-needed relief to the small-time debtors.

2. **Mention 5 objectives of Insolvency and Bankruptcy code, 2016.**

Insolvency is when an individual, corporation or other organization cannot meet its financial obligations for paying debts as they are due or the condition of a person who is unable to pay his debts as they fall due, or in the usual course of trade and business.

Bankruptcy is not exactly the same as insolvency. Technically, bankruptcy occurs when a Court has determined insolvency, and given legal orders for it to be resolved. Insolvency describes a situation where the debtor is unable to meet his/her obligations. Bankruptcy is a legal maneuver in which an insolvent debtor seeks relief.

The objects clause of the Insolvency and Bankruptcy Code lays down the following key objectives:

1. To consolidate and amend the laws relating to re-organisation and insolvency resolution of corporate persons, partnership firms and individuals to provide for a time bound insolvency resolution mechanism.
2. To ensure maximisation of value of assets,
3. To promote entrepreneurship,
4. To increase availability of credit,
5. To balance the interests of all the stakeholders including alteration in the order of priority of payment of Government dues, and
6. To establish an Insolvency and Bankruptcy Board of India as a regulatory body, 7. To provide procedure for connected and incidental matters.

3. **Write a short note on 'Associate' of the Debtor ?**

As per Section 79(2) of the Insolvency and Bankruptcy Code, 2016, "Associate" of the debtor means –

(a) a person who belongs to the immediate family of the debtor;

(b) a person who is a relative of the debtor or a relative of the spouse of the debtor;

(c) a person who is in partnership with the debtor;

(d) a person who is a spouse or a relative of any person with whom the debtor is in partnership;

(e) a person who is employer of the debtor or employee of the debtor;

(f) a person who is a trustee of a trust in which the beneficiaries of the trust include a debtor, or the terms of the trust confer a power on the trustee which may be exercised for the benefit of the debtor; and

(g) a company, where the debtor or the debtor along with his associates, own more than fifty per cent. of the share capital of the company or control the appointment of the board of directors of the company.

Explanation – For the purposes of this sub-section, "relative", with reference to any person, means anyone who is related to another, if –
(i) they are members of a Hindu Undivided Family;
(ii) one person is related to the other in such manner as may be prescribed

4. **Name any 5 functions of an 'insolvency Professional Agency' as listed in the chapter III of I.B.C.**

Section 3(20) of the Code defines "insolvency professional agency" as any person registered with the Board under section 201 as an insolvency professional agency. Insolvency Professional Agencies are designated to regulate Insolvency Professionals. These agencies enrol Insolvency Professionals, provide pre-registration educational course to its enrolled members and enforce a code of conduct for their functioning. They also issue 'authorisation for assignment' to the IPs enrolled with them.

According to Section 204 of the Code, insolvency professional agencies perform the following functions, namely:
(a) grant membership to persons who fulfil all requirements set out in its byelaws on payment of membership fee;
(b) lay down standards of professional conduct for its members;
(c) monitor the performance of its members;
(d) safeguard the rights, privileges and interests of insolvency professionals who are its members;
(e) suspend or cancel the membership of insolvency professionals who are its members on the grounds set out in its bye-laws;
(f) redress the grievances of consumers against insolvency professionals who are its members; and
(g) publish information about its functions, list of its members, performance of its members and such other information as may be specified by regulations.

5. **Short note on Organisational Structure of Insolvency and Bankruptcy Board of India**

The Insolvency and Bankruptcy Code, 2016 provides for the constitution of a new insolvency regulator i.e., the Insolvency and Bankruptcy Board of India (IBBI). The Insolvency and

Bankruptcy Board of India was established on 1st October 2016. It is a unique regulator which regulates a profession as well as processes under the Code. Its role includes over seeing the functioning of insolvency intermediaries i.e., insolvency professionals, insolvency professional agencies and information utilities. The Board is responsible for implementation of the Code.

Organizational structure of IBBI

The IBBI has a ten-member board including a Chairman. Following is the structure of the IBBI.

- One Chairperson
- Three members from Central Government officers not below the rank of Joint Secretary or equivalent.
- One nominated member from the RBI.
- Five members nominated by the Central Government; of these, three shall be whole-time members.

  More than half of the directors of its board shall be independent directors. MS Sahoo was appointed as the first Chairman of IBBI.

6. **Mention any Three duties and three rights of resolution professional.**

A Resolution Professional is a licensed professional who:

- Has qualified the Limited Insolvency Examination,
- Is enrolled with the Insolvency Resolution Agency,
- Is registered with the Board.

The Adjudicating Authority appoints the Resolution Professional who manages the entire process of insolvency and bankruptcy. According to the Code, "Resolution Professional" means an Insolvency Professional who conducts the insolvency resolution process and includes an interim resolution professional and takes necessary steps to revive the company. The Insolvency Professional is governed by specific legislation that they have to follow i.e., IBBI (Insolvency Professional) Regulation, 2016.

Duties of the Resolution Professional

The duties of the IRP and RP are provided by the code under Section 18 and Section 25.

- To preserve, protect and monitor the assets of the corporate debtor.
- Collecting all the information of the assets, finances, and operations.
- To invite the prospective resolution applicant fulfilling the criteria prescribed by the CoC.
- Following the public announcement under section 13 and 15 to receive and collating of claims that are submitted by the creditors.

- Filling of information collected with the information utility.
- To represent himself and act on the behalf of the corporate debtor.
- To raise interim finances as per the limits prescribed by the CoC.
- Disclose the insolvency resolution process cost.
- Appointment of accountants, legal professionals, and other professionals.
- Receiving, verifying and maintaining an updated list of the claims.
- Presenting resolution plans before the CoC meeting.
- To submit the resolution plan to the Adjudicating Authority approved by the CoC.
- Any other such duty as specified by the Board.

Rights of the Resolution Professional

- Management of Affairs
- Exercise power of BOD/ Partners
- Reporting to officers/managers
- Instructions to financial institutions

7. Short Note on the Debt Recovery Appellate Tribunal

The Debts Recovery Tribunals (DRTs) and Debts Recovery Appellate Tribunals (DRATs) were established under the Recovery of Debts and Bankruptcy Act (RDB Act), 1993 with the specific objective of providing expeditious adjudication and recovery of debts due to Banks and Financial Institutions.

The Debt Recovery Tribunal (DRT) shall be the Adjudicating Authority with jurisdiction over individuals and partnership firms. Appeals from the order of DRT shall lie to the Debt Recovery Appellate Tribunal (DRAT).

As per Section 8 (1) of Recovery of Debts due to Banks and Financial Institutions Act, 1993, the Central Government shall, by notification, establish one or more Appellate Tribunals, to be known as the Debts Recovery Appellate Tribunal, to exercise the jurisdiction, powers and authority conferred on such Tribunal by or under this Act

1A. The Central Government shall, by notification, establish such number of Debt Recovery Appellate Tribunals to exercise jurisdiction, powers and authority to entertain appeal against the order made by the Adjudicating Authority under Part III of the Insolvency and Bankruptcy Code, 2016.

2. The Central Government shall also specify in the notification referred to in sub-section (1) the Tribunals in relation to which the Appellate Tribunal may exercise jurisdiction.

3. Notwithstanding anything contained in sub-sections (1) and (2), the Central Government may authorise the Chairperson of one Appellate Tribunal to discharge also the functions of the Chairperson of other Appellate Tribunal.

Section 9 of the Act provides that an Appellate Tribunal shall consist of one person only (hereinafter referred to as the Chairperson of the Appellate Tribunal) to be appointed, by notification, by the Central Government. Section 10 of the Act deals with the qualifications for appointment of Chairperson of the Appellate Tribunal. It provides that a person shall not be qualified for appointment as the Chairperson of an Appellate Tribunal unless he:

(a) is, or has been, or is qualified to be, judge of a High Court; or

(b) has been a member of the Indian Legal Service and has held a post in Grade I of that service for at least three years; or

(c) has held office as the presiding officer of a Tribunal for at least three years.

8. Write short note on persons who can initiate the Corporate Insolvency Resolution Process.

Section 6 of the Insolvency and Bankruptcy Code, 2016 provides that where any corporate debtor commits a default, a financial creditor, an operational creditor or the corporate debtor itself may initiate corporate insolvency resolution process in respect of such corporate debtor in the manner as provided under Chapter II of Part II of the Code.

The Insolvency and Bankruptcy Code, 2016 also defines the expressions “financial creditor” and “operational creditor”.

According to Section 5(7), a “financial creditor” means any person to whom a financial debt is owed and includes a person to whom such debt has been legally assigned or transferred to and

According to section 5(20) an “operational creditor” means a person to whom an operational debt is owed and includes any person to whom such debt has been legally assigned or transferred.

Corporate Debtor- A corporate debtor is a corporate person who owes a debt to any person.

9. Mention any 3 advantages and 3 limitations of ‘Voluntary Liquidation”?

Creditors’ Voluntary Liquidation happens when shareholders and directors agree to place the business into liquidation because it can no longer pay its bills when they fall due.

In the case of Compulsory Liquidation, a creditor has usually been chasing the company for payment of a significant amount, and on finding themselves unable to collect what is owed, they petition through the courts for the company's liquidation.

Advantages of Creditors' Voluntary Liquidation (CVL) for insolvent companies-

Outstanding debts are written off

Being unable to repay existing debts with no way of turning the company around is a stressful situation for any director. You cannot continue to trade if you are insolvent, and a CVL offers a way of dealing with these outstanding obligations in a way which aims to maximise returns for creditors. Unless personal guarantees have been given for company debts, as a director you have no legal liability to repay monies owed by the business. Upon the company entering liquidation, any personal guarantees which have been given will crystallise and the responsibility for paying these associated borrowings will belong to the director/guarantor.

Legal action is halted

Any legal action against the company is stopped when the company is in liquidation. Again, as long as you have no personal liability for a company debt, creditors will be unable to take action against you.

Staff can claim redundancy pay

Members of staff will be made redundant by the liquidator, and if eligible, they can start their claim for redundancy pay and other statutory entitlements. If monies realised from the sale of company assets are not sufficient to cover redundancy payments, staff have an alternative route by which to claim what is owed. The National Insurance Fund pays out for redundancy, unpaid wages and holiday pay should the company not be able to do so using its own funds.

Leases can be cancelled

Terms on lease and hire purchase agreements are generally terminated at the date of liquidation, meaning that no further payments need to be made. If any arrears are owed, the company leasing the goods may be able to claim from the insolvency practitioners along with other creditors. It is worth noting here that personal guarantees are often given upon signing a property lease agreement; you should check your documentation carefully so you know whether you are likely to be made personally responsible for the remainder of the lease.

Relatively low costs involved

Company directors will need to fund the costs of arranging a Statement of Affairs and holding a creditors' meeting, but apart from those upfront costs there may be little to fund, as professional fees are paid from the sale of company assets as long as these are sufficient.

Avoid court processes

By voluntarily choosing to liquidate the company, you can avoid being petitioned through the courts and be able to demonstrate to the public that liquidation was a company choice rather than a result of hostile creditor action.

Having identified some of the advantages of this type of company liquidation, let us now look at the main disadvantages of the process.

Disadvantages-

Accusations of wrongful trading

On liquidation, the appointed insolvency practitioner is obliged to investigate the conduct of all directors. A detailed report is sent to the Department for Business, Innovation & Skills (BIS), and if a case is successfully brought against one or more directors, they could face severe penalties. These include a ban from acting as a director for up to 15 years, and in serious cases prosecution through the courts and a prison sentence may ensue.

Personal liability for company debts

Becoming personally liable for company debts can happen if a director has made a personal guarantee against debts of the business. A creditor can enforce the debt if they are unable to reach an agreement for repayment.

Liability for overdrawn directors' current accounts

Each director will be held responsible for repayment of their director's current account should it be overdrawn. The liquidator has the power to force directors to repay this debt if necessary.

All business assets will be sold

All existing assets will be sold off in order to provide a dividend to creditors where possible, and for the insolvency practitioner to collect their fee.

All staff will be made redundant

As liquidation bring about the end of a company, any staff employed by the business will be made redundant and be forced to look for employment elsewhere. However, depending on their length of service with the business, they may be able to claim statutory redundancy pay following their dismissal.

10. Explain the concept of "Secured Creditors"?

"Secured Creditor" means a creditor in favour of whom security interest is created [Section 3(30)]. "Security Interest" means right, title or interest or a claim to property, created in favour of, or provided for a secured creditor by a transaction which secures payment or performance of an obligation and includes mortgage, charge, hypothecation, assignment and encumbrance or any other agreement or arrangement securing payment or performance of any obligation of any person: Provided that security interest shall not include a performance guarantee; [Section 3(31)].

In simple terms, if the debt is secured by the mortgage of immovable property, hypothecation of the stock, pledge of the shares or in any other form of encumbrance, the said debt is considered as the secured debt and the creditors as the secured creditors. If the debtor failed

to meet the repayment obligation, the secured creditor may enforce the security interest and recover the amounts due.

In case, the CoC has failed to arrive at a resolution of the corporate debtor, the Adjudicating Authority will pass an order for the liquidation and the liquidator would be appointed. In the event of the liquation, the code has provided two options for the secured creditor i.e.:

1. The secured creditor may **relinquish** his security interest in the secured asset and receive the proceeds from the liquidation estate under the waterfall mechanism[iii].
2. The secured creditor may **realise** the security interest as provided in section 52 of the Code.

Thus, the secured creditor will have to make the choice as to relinquish or realize the security interest depending on the facts and circumstances of the case.

11. Who is judgment debtor?

A judgment debtor is a person against whom a judgment ordering him to pay a sum of money has been obtained and remains unsatisfied.

The term judgment debtor describes a party against which a court has made a monetary award.

If a court renders a judgment involving money damages, the losing party must satisfy the amo unt of the award, which is called the judgment debt. Such a decision gives the winner of the s uit, or Judgment

creditor, the right to recover the debt, or award, through extraordinary means, and the court m ay help the creditor do so.

12. Write notice on : Avoidance of voluntary Transfer.

Avoidance of voluntary transfer.-Any transfer of property, not being a transfer made before and in consideration of marriage or made in favour of a purchaser or incumbrancer in good faith and for valuable consideration, shall, if the transferor is adjudged insolvent on a petition presented within two years after the date of the transfer, be void against the Official Assignee.

Explanation- For the purposes of this section, in the case of a transfer which is required to be made by a registered instrument under any law for the time being in force, and which is made by such a registered instrument, the date of registration of the instrument shall be deemed to be the date of the transfer.

13. Explain – Disqualification of Insolvent

Section 140: Disqualification of bankrupt ("Bankrupt" means – (a) a debtor who has been adjudged as bankrupt by a bankruptcy order under section 126; (b) each of the partners of a

firm, where a bankruptcy order under section 126 has been made against a firm; or (c) any person adjudged as an undischarged insolvent [Section 79(3)].)

*__140.__ (1) The bankrupt shall, from the bankruptcy commencement date, be subject to the disqualifications mentioned in this section.

(2) In addition to any disqualification under any other law for the time being in force, a bankrupt shall be disqualified from—

(a) being appointed or acting as a trustee or representative in respect of any trust, estate or settlement;

(b) being appointed or acting as a public servant;

(c) being elected to any public office where the appointment to such office is by election; and

(d) being elected or sitting or voting as a member of any local authority.

(3) Any disqualification to which a bankrupt may be subject under this section shall cease to have effect, if—

(a) the bankruptcy order against him is modified or recalled under section 142; or

(b) he is discharged under section 138.

Explanation.—For the purposes of this section, the term "public servant" shall have the same meaning as assigned to it in section 21 of the Indian Penal Code.

14. Explain suits by indigent person

Order XXXIII of CPC deals with the suits by indigent person. An indigent person is one who does not possess sufficient means to pay court fees and unable to proceed with any suit. Every application for permission to sue as indigent person must contain the report of his moveable and immoveable property, with the estimated value annexed with the application. When the application is in proper form and duly presented, the court, may think fit, examine the applicants or his agents and the application must be duly verified and signed by the applicants. The court has the power to reject or withdraw the application under order 33 even in the middle of the proceedings, if the court finds suitable grounds under Rule 5 & 9.

If the application is duly admitted and accepted by the court the suit will be treated as any other normal suit and court may also provide the applicant a lawyer to represent him. If the applicant wins the suit the court will then decide who has to pay the court fees but if the respondent wins the case the court fees is payable by the applicants. If the application under Order XXXIII is rejected by any subordinate court the, the same is appealable.

Any application may be filed by natural person or any judicial person who all fill within the ambit and are not barred by law in any manner. In landmark judgement held by Supreme

Court 2011 'Union Bank of India vrs. Khader International Construction and Ors', juristic person can also avail the application under Order 33 of Civil Procedure Code.

15. What is release of debtor?

Release of debtor.-(1) At the time of making an order admitting the petition or at any subsequent time before adjudication the court may, if the debtor is under arrest or imprisonment in execution of the decree or order of any court for the payment of money, order his release on such terms as to security as may be reasonable and necessary.

(2) The court may, at any time, order any person who has been released under this section to be re-arrested and recommitted to the custody from which he was released.

(3) At the time of making an order under this section, the court shall record in writing its reasons therefor.

16. What does the Insolvency Resolution Process Costs include?

According to section 5(13), of the Code, the "Insolvency Resolution Process Costs" means –

(a) the amount of any interim finance and the costs incurred in raising such finance;

(b) the fees payable to any person acting as a resolution professional;

(c) any costs incurred by the resolution professional in running the business of the corporate debtor as a going concern;

(d) any costs incurred at the expense of the Government to facilitate the insolvency resolution process; and

(e) any other costs as may be specified by the Board.

Further, the resolution professional shall examine each resolution plan received by him to confirm that each resolution plan provides for the payment of insolvency resolution process costs in a manner specified by the Board in priority to the payment of other debts of the corporate debtor.

17. What documents are required to be submitted by an Operational Creditor along with the application for CIRP?

Section 9 of the Insolvency And Bankruptcy Code reads as follows:

"(1) After the expiry of the period of ten days from the date of delivery of the notice or invoice demanding payment under sub-section (1) of section 8, if the operational creditor does not receive payment from the corporate debtor or notice of the dispute under subsection (2) of section 8, the operational creditor may file an application before the Adjudicating Authority for initiating a corporate insolvency resolution process.

(3) The operational creditor shall, along with the application furnish –

(a) a copy of the invoice demanding payment or demand notice delivered by the operational creditor to the corporate debtor;

(b) an affidavit to the effect that there is no notice given by the corporate debtor relating to a dispute of the unpaid operational debt;

(c) a copy of the certificate from the financial institutions maintaining accounts of the operational creditor confirming that there is no payment of an unpaid operational debt by the corporate debtor, if available;

(d) a copy of any record with information utility confirming that there is no payment of an unpaid operational debt by the corporate debtor, if available; and

(e) any other proof confirming that there is no payment of any unpaid operational debt by the corporate debtor or such other information, as may be prescribed.

18. What is the concept inability to pay debt?

Creditors put money into debt investments today in return for the promise of fixed future cash flows. But the returns expected on these investments may be uncertain because at the time of repayment, the debtor may make repayments as promised or may default and does not make the payment at all. When default happens, the debtor is considered insolvent. Other than cases of outright fraud, the debtor may be insolvent because of

i) Financial failure, a persistent mismatch between payments by the enterprise and receivables into the enterprise, even though the business model is generating revenues; or

ii) Business failure, which is a breakdown in the business model of the individual/enterprise and is unable to generate sufficient revenues to meet payments.

Often an individual/enterprise may be a successful business model, while still failing to repay its creditors. A sound insolvency process is one that helps creditors and debtors to realize and agree on whether the entity is facing financial failure or business failure.

Inability to pay debt or default in payment of dues leads for-

1) initiation of insolvency process,
2) liquidation,
3) winding up, etc.

19. Dismissal of petition filed by a creditor.

The Court shall dismiss the petition filed by the Creditor, where the Court is not satisfied-

1) With the proof of his right to present the petition, or
2) With the service of the notice on the debtor or notice of order admitting the petition, or

3) With the alleged act of insolvency, or
4) Is satisfied by the debtor that he is able to pay his debts, or
5) That for any other sufficient cause, no order ought to be made.

Where petition filed by the creditor is dismissed and the Court is satisfied that the petition was frivolous or vexatious, the Court may, on the application of the debtor, award against such creditor such amount not exceeding Rs. 10,000/- as it deems reasonable compensation to the debtor for the expense or injury occasioned to him by the petition and the proceedings thereon and such amount may be realized as if it were a fine.

20. Explain absconding with intent to defeat the creditors.

Where a bankrupt has absconded or attempts to absconds or leaves, or attempts to leave the country without delivering the possession of any property which he is required to deliver to the Bankruptcy Trustee under Section 156, after the bankruptcy commencement date, he shall be punishable with imprisonment for a term which may extend to one year, or with fine, which may extend to five lakh rupees, or with both.

21. What is operational debt?

"Operational Debt" means a claim in respect of the provision of goods or services including employment or a debt in respect of the payment of dues arising under any law for the time being in force and payable to the Central Government, any State Government or any local authority [Section 5(21)]

(such as trade debts, salary or wage claims, government dues)

22.What are the functions of information utility?

IUs are entities that would act as data repositories of financial information which would receive, authenticate, maintain and deliver financial information pertaining to a debtor with a view to facilitate the insolvency resolution process in a time-bound manner. IU maintains an information network which would store financial data like borrowings, default and security interests among others of debtors for providing such information to businesses, financial institutions, adjudicating authorities, insolvency professionals and other stakeholders.

Section 3(21) of the Code defines an "information utility" as a person who is registered with the Board as an information utility under section 210. the Information Utility collect, collate, authenticate and disseminate financial information. The purpose of such collection, collation, authentication and dissemination financial information of debtors is to facilitation swift decision making in the resolution proceedings.

As per Section 213 of IBC, IUs shall provide services which include core services to any person, if such person complies with the terms and conditions of the IU Regulations.

Furthermore, as per Section 3(9) of IBC, “core services” means – (a) accepting electronic submission of financial information; (b) safe and accurate recording of financial information; (c) authenticating and verifying financial information submitted by person; and (d) providing access to information stored with IUs to persons as may be specified.
Section 214 of the IBC elaborates the functions to be performed by IUs for the purpose of providing core services. The major obligations of IUs as per Section 214 can be summarised as follows:

- Acceptance of financial information in electronic form from persons who are under obligation to submit the same under IBC and also from other persons who intend to submit the same. This acceptance is to be in such form and manner as specified under the IU Regulations.
- Authentication of the financial information so received by all the parties concerned.
- Storage of the financial information received as aforesaid in a universally accessible format after the same is duly authentication by all the parties concerned.
- Providing the financial information stored by it as aforesaid to any person who intend to access such information in such manner as may be specified by the IU Regulations.
- Publication of such statistical information as may be specified by the IU Regulations.

22. What is the rule as to surplus in bankruptcy proceedings?

23.What are the changes brought in IBC to deal with pandemic?

The global spread of Covid-19 pandemic and the subsequent lockdown hampered the working of various sectors across the economy. The government had taken many steps and introduced several relief packages to support the economy. As part of the economic relief package, the Finance Minister had announced an ad-hoc suspension of Sections 7, 9 and 10 of the Insolvency and Bankruptcy Code, 2016 (IBC). The main intention behind the decision was to avoid initiation of any fresh insolvency petitions against companies for a period of one year and to keep all Covid-19 related debt outside the purview of IBC.
The latest amendment by the government was the "*Insolvency and Bankruptcy Code, Ordinance, 2020*", through which Section 10(A) and Section 66(3) were inserted. The addition of section 66(3) of IBC is for the protection of partner/director of a Corporate Debtor from any liability in case any default occurs when Corporate Insolvency Resolution Process (CIRP) gets suspended u/s 10 A of IBC. Further, regulation 40 C was also introduced in IBBI Regulations, 2016, for providing exemption from the lockdown period.
Section10A was inserted vide the Insolvency and Bankruptcy Code (Amendment) Ordinance, 2020 which came into effect from 05th June, 2020 in light of COVID-19 pandemic that has

impacted business, financial markets and economy all over the world, including India, and created uncertainty and stress for business for reasons beyond their control. Section 10A reads as follows:

"Notwithstanding anything contained in sections 7, 9 and 10, no application for initiation of corporate insolvency resolution process of a corporate debtor shall be filed, for any default arising on or after 25th March, 2020 for a period of six months or such further period, not exceeding one year from such date, as may be notified in this behalf: Provided that no application shall ever be filed for initiation of corporate insolvency resolution process of a corporate debtor for the said default occurring during the said period. Explanation. - For the removal of doubts, it is hereby clarified that the provisions of this section shall not apply to any default committed under the said sections before 25th March, 2020."

The aforesaid section covers the default of a corporate debtor which arises after the 25th March 2020 emerging due to the impact of COVID 19 and shall remain suspended for six months or upto a period of one year. However, the defaults prior to this date are enforceable under the Code. (OPTIONAL)

24. Raghav Patel is undergoing insolvency resolution. There are 7 creditors including his brother. Who will make the repayment plan.

25. Bring out the distinction between liquidation process and voluntary liquidation process.

Though the procedure to be followed for voluntary liquidation proceedings under Chapter III is largely similar to the procedure to be followed for insolvent liquidation under Chapter III of the Code yet there are marked differences:

1. To initiate voluntary liquidation proceedings, where the corporate debtor is a company, the directors have to provide a declaration of solvency and a declaration that the company is not being liquidated to defraud any person.
2. The declarations have to be accompanied by (a) the audited financial statements of the company and (b) a record of its business operations for the previous two years or the periods inceits incorporation, whichever is later.
3. Further, a report of the valuation of the assets of the company prepared by a registered valuer has to be provided.

4. A resolution in favour of the voluntary winding up of the company and appointment of an insolvency professional as the liquidator has to be passed within four weeks of the declaration under clause (a) of sub-section (3) of section 59.
5. Where the company owes any debt to any person, creditors representing two-thirds in value of the debt of the company shall approve the resolution passed under sub-clause (c) within seven days of such resolution.
Thus, the major difference between liquidation and voluntary liquidation is applicability and the party eligible to initiate.

26. X wants to sue as an indigent person. When will she be eligible?

27. A corporate debtor is undergoing a resolution process. What are the past transactions of the corporate debtor that can be avoided by the insolvency resolution professional? State the procedure for avoiding them.

The Insolvency and Bankruptcy Code, 2016 (IBC) contains four types of avoidable transactions- preferential, undervalued, defrauding creditors and extortionate transactions mentioned in Sections 43 to 50 of the Code.
Subject to certain exceptions, the Code tries to invalidate the transaction involves transfer of property or interest thereof given during the relevant time to a person for the benefit of a creditor, surety or guarantor on account of antecedent debt or other liabilities which have the effect of putting such creditor, surety or guarantor in a better positon which he would have been in if such transfer has not been made.
Relevant Time:
1. Transactions with related party – 2 years preceding the insolvency commencement date.
2. Transactions with others – 1 year preceding the insolvency commencement date.

Where the liquidator or the resolution professional, as the case may be, is of the opinion that the corporate debtor has at a relevant time entered into a avoidance transaction, he shall apply to the Adjudicating Authority for avoidance of transactions and for, one or more of the orders.

28. To whom shall the provisions of the Code apply?

Section 2 of the Insolvency and Bankruptcy Code, 2016 provides that the provisions of the Code shall apply to –

(a) any company incorporated under the Companies Act, 2013 or under any previous company law,
(b) any other company governed by any special Act for the time being in force, (c) any Limited Liability Partnership incorporated under the Limited Liability Partnership Act, 2008,
(d) such other body incorporated under any law for the time being in force, as the Central Government may, by notification, specify in this behalf,
(e) personal guarantors to corporate debtors,
(f) partnership firms and proprietorship firms; and
(g) individuals, other than persons referred to in clause (e) in relation to their insolvency, liquidation, voluntary liquidation or bankruptcy, as the case may be.

29. Define the terms 'Debt' and 'Claim' under the Code.

Debt: - It is a liability or obligation in respect of a claim which is due from any persons and includes a financial debt and operational debt. Section 3(11)
Claim means a right to payment on right to remedy for breach of contract if such breach gives right to payment whether or not such right is reduced to judgement, fixed, matured, unmatured, disputed, undisputed, legal, equitable, secured or unsecured. Section 3(6)

30. What is the significance of the Corporate Insolvency Resolution Commencement Date? And what is the effect of order on moratorium?

Ans: As per Section 5(12) of the Insolvency and Bankruptcy Code, 2016, Insolvency commencement date" means the date of admission of an application for initiating corporate insolvency resolution process by the Adjudicating Authority under sections 7, 9 or section 10, as the case may be.
The commencement date of the corporate insolvency resolution process is the beginning of moratorium or a calm period under Section 14 of the IBC till the completion of the corporate insolvency resolution process.
As per Section 14(1) of the IBC, on the insolvency commencement date, the NCLT shall by order declare moratorium for prohibiting all of the following, namely:

- The institution of suits or continuation of any pending suits or proceedings against the corporate debtor. including execution of any judgment, decree, or order in any court of law, tribunal, arbitration panel, or other authority.
- Transferring, encumbering, alienating, or disposing of by the corporate debtor any of

its assets or any legal right or beneficial interest therein.

- Any action to foreclose, recover, or enforce any security interest created by the corporate debtor in respect of its property – including any action under the SARFAESI Act, 2002,
- The recovery of any property by an owner or lessor where such property is occupied by or in the possession of the corporate debtor.

31. Does resolution professional require approval of Committee of Creditors forperformance of his duties?

Ans:

32. Under what circumstances transactions will not be referred to as preferentialtransactions?

Section 43(3) provides that for the purposes of sub-section (2), a preference shall not include the following transfers:

(a) transfer made in the ordinary course of the business or financial affairs of the corporate debtor or the transferee;

(b) any transfer creating a security interest in property acquired by the corporate debtor to the extent that-

(i) such security interest secures new value and was given at the time of or after the signing of a security agreement that contains a description of such property as security interest, and was used by corporate debtor to acquire such property; and

(ii) such transfer was registered with an information utility on or before thirty days after the corporate debtor receives possession of such property: Provided that any transfer made in pursuance of the order of a court shall not, preclude such transfer to be deemed as giving of preference by the corporate debtor.

33. What is fast track insolvency resolution process? And can the time period for fast-track corporate insolvency resolution process be extended?

The procedure pertaining to the fast track insolvency of small-scale enterprises is enshrined under Ss. 55 to 58 of the Insolvency and Bankruptcy Code, 2016

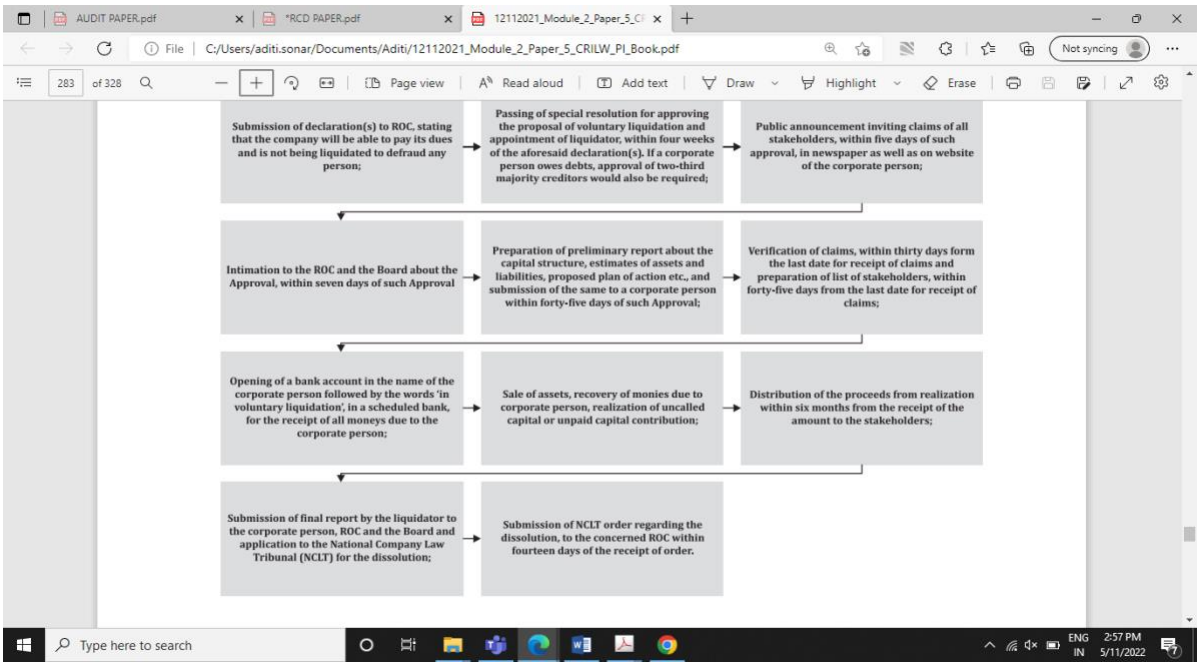
Section 55 of the Code of 2016 (through notification) states that an application for initiation of Corporate Insolvency Process can be made only against these below-mentioned corporate debtors:

1. Small-sized Companies (As defined under the Companies Act, 2013).
2. Start-up Company other than a Partnership Firm.

3. An Unlisted Company with total assets less than one crore rupees (as reported in the books of the preceding financial year).

The time period for the completion of the fast track insolvency as incorporated under the provisions of the Code of 2016 is ninety (90) days. This time period can be further extended for a period of forty-five (45) days. This extension can be granted only once.

34. **When can a corporate person initiate voluntary liquidation process and explain the process?**



35. What are the restrictions imposed on a Bankrupt?

Ans: Section 141 of IBC states that

(1) A bankrupt, from the bankruptcy commencement date, shall

(a) not act as a director of any company, or directly or indirectly take part in or be concerned in the promotion, formation or management of a company;

(b) without the previous sanction of the bankruptcy trustee, be prohibited from creating any charge on his estate or taking any further debt;

(c) be required to inform his business partners that he is undergoing a bankruptcy process;

(d) prior to entering into any financial or commercial transaction of such value as may be prescribed, either individually or jointly, inform all the parties involved in such transaction that he is undergoing a bankruptcy process;

(e) without the previous sanction of the Adjudicating Authority, be incompetent to maintain any legal action or proceedings in relation to the bankruptcy debts; and

(f) not be permitted to travel overseas without the permission of the Adjudicating Authority.

36. Which are the acts that require approval from creditors prior to being conducted by the Bankruptcy Trustee?

Ans: Section 153-Approval of creditors for certain acts. – (Write any 6 for 3 marks)

The bankruptcy trustee for the purposes of this Chapter may after procuring the approval of the committee of creditors, -

(a) carry on any business of the bankrupt as far as may be necessary for winding it up beneficially;

(b) bring, institute or defend any legal action or proceedings relating to the property comprised in the estate of the bankrupt;

(c) accept as consideration for the sale of any property a sum of money due at a future time subject to certain stipulations such as security;

(d) mortgage or pledge any property for the purpose of raising money for the payment of the debts of the bankrupt;

(e) where any right, option or other power forms part of the estate of the bankrupt, make payments or incur liabilities with a view to obtaining, for the benefit of the creditors, any property which is the subject of such right, option or power;

(f) refer to arbitration or compromise on such terms as may be agreed, any debts subsisting or supposed to subsist between the bankrupt and any person who may have incurred any liability to the bankrupt;

(g) make compromise or other arrangement as may be considered expedient, with the creditors;

(h) make compromise or other arrangement as he may deem expedient with respect to any claim arising out of or incidental to the bankrupt's estate;

(i) appoint the bankrupt to - (A) supervise the management of the estate of the bankrupt or any part of it; (B) carry on his business for the benefit of his creditors; (C) assist the bankruptcy trustee in administering the estate of the bankrupt.

37. What is onerous property? Who can make an application to challenge against disclaimed property?

Ans: The term "onerous property" means –

(i) any unprofitable contract; and

(ii) any other property comprised in the estate of the bankrupt which is unsaleable or not readily saleable, or is such that it may give rise to a claim.

An onerous property is said to be disclaimed where notice in relation to that property has been given by the bankruptcy trustee under section 160.

Section 163 provides that an application challenging the disclaimer may be made by the following persons under this section to the Adjudicating Authority-

(a)any person who claims an interest in the disclaimed property; or

(b)any person who is under any liability in respect of the disclaimed property; or

(c)where the disclaimed property is a dwelling house, any person who on the date of application for bankruptcy was in occupation of or entitled to occupy that dwelling house.

38. When are the provisions of Insolvency and Liquidation applicable to a corporate person?

Ans: Corporate insolvency resolution process (CIRP) can be commenced when a corporate debtor commits a default – section 4(1) of Insolvency Code, 2016.

The default should be minimum Rs one crore.

39. **What is the Insolvency Resolution Process for financial creditors?**

Ans: The financial creditor shall make application by itself or jointly against a corporate debtor in form 1 before NCLT as contained in Insolvency and Bankruptcy (Application to Adjudicating Authority) Rules, 2016.

The financial creditor shall, along with the application furnish - (a) record of the default recorded with the information utility or such other record or evidence of default as may be specified; (b) the name of the resolution professional proposed to act as an interim resolution professional; and (c) any other information as may be specified by the Board.

The Adjudicating Authority shall, within fourteen days of the receipt of the application ascertain the existence of a default from the records of an information utility or on the basis of other evidence furnished by the financial creditor

Copy of application shall be forwarded to registered office of corporate debtor by registered post or speed post. Application fees of Rs. 25,000 are payable.

If Adjudicating Authority (AA) is satisfied that default has occurred, it will admit application

Adjudicating Authority shall, before rejecting the application, give a notice to the applicant to rectify the defect in his application within seven days of receipt of such notice from the Adjudicating Authority.

40. What is the procedure of Insolvency Resolution Process for a Corporate Applicant?

Ans: Section 10 of the Insolvency and Bankruptcy Code, 2016 provides for the initiation of corporate insolvency resolution process by the corporate debtor itself. Section 10 reads as follows:

(1) Where a corporate debtor has committed a default, a corporate applicant thereof may file an application for initiating corporate insolvency resolution process with the Adjudicating Authority.

(2) The application under sub-section (1) shall be filed in form 6 containing such particulars and in such manner and accompanied with application fees of Rs. 25,000

(3) The corporate applicant shall, along with the application, furnish–

(a) the information relating to its books of account and such other documents for such period as may be specified;

(b) the information relating to the resolution professional proposed to be appointed as an interim resolution professional; and

(c) the special resolution passed by shareholders of the corporate debtor or the resolution passed by at least three-fourth of the total number of partners of the corporate debtor, as the case may be, approving filing of the application.

(4) The Adjudicating Authority shall, within a period of fourteen days of the receipt of the application, by an order–

(a) admit the application, if it is complete and no disciplinary proceeding is pending against the proposed resolution professional; or

(b) reject the application, if it is incomplete or any disciplinary proceeding is pending against the proposed resolution professional;

Provided that Adjudicating Authority shall, before rejecting an application, give a notice to the applicant to rectify the defects in his application within seven days from the date of receipt of such notice from the Adjudicating Authority.

41. Write principles laid in this case Firm Mukundlal Veerkumar v. Purushottam Singh matter.

Ans: In the present case, the property of which Mukand Lal made a gift to Veer Kumar was not partnership property and there was no collective act of insolvency alleged on behalf of all the partners of the firm. In the circumstances of the present case it cannot

also be held that the act of insolvency committed by Mukand Lal should be attributed to Ram Surat Misra. The High Court has, in fact, allowed the appeal of Ram Surat Misra and set aside the order of the lower courts declaring him as insolvent.

- **42. Write a fact and the principle laid down in this M.R. Arunmgham v. Velammal matter.**

Ans: Where the insolvency court has passed an order of adjudication holding a transfer by the insolvent to be byway of fraudulent preference, the transferee is an aggrieved party and so has a right to question his adjudication. The petitioners herein are the alienees who filed suits for specific performance of the contracts and the court executed the sale deeds in their favour. When the respondents 2 and 3 herein were adjudicated as insolvents and their properties were vested in the hands of the official Receiver, definitely the alienees are the aggrieved persons. Further, the District Court in its order pointed out that if a petition is filed to annul these three sale deeds, then the question whether respondents 3 to 5 are bona fide purchasers for value or not could be considered. In such circumstances, one cannot expect the alienees to keep quiet without questioning the judgment and decree of the District Court. Therefore, the alienees are entitled to file these revisions as aggrieved parties.

43. Write a short on Arrest of Debtor?

Ans:

44. A debtor 'X' makes a transfer of all substantially all his property to third person for the benefit of his creditors generally.

State and explain the consequences of 'X's transfer.

Ans:

45. Mr. K is insolvent and is required to apply for discharge within a stipulated time Mr.'A' applies for discharge accordingly.

What are the consequences of a discharge if the insolvent is discharged by the court?

Ans:

46. Describe in brief the activities prohibited during the moratorium period under Part II of the Insolvency and Bankruptcy Code, 2016.

Ans: On the insolvency commencement date, the NCLT shall by order declare moratorium for prohibiting all of the following acts:

(a) the institution of suits or continuation of pending suits or proceedings against the corporate debtor including execution of any judgement, decree or order in any court of law, tribunal, arbitration panel or other authority,

(b) transferring, encumbering, alienating or disposing of by the corporate debtor any of its assets or any legal right or beneficial interest therein,

(c) any action to foreclose, recover or enforce any security interest created by the corporate debtor in respect of its property including any action under the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002,

(d) the recovery of any property by an owner or lessor where such property is occupied by or in the possession of the corporate debtor. [Section 14(1)]

47. **Write a short note on "authorised representative" for class of financial creditors**.

Ans: The authorised representative shall have the right to participate and vote in meetings of the committee of creditors on behalf of the financial creditor here presents in accordance with the prior voting instructions of such creditors obtained through physical or electronic means.

It shall be the duty of the authorised representative to circulate the agenda and minutes of the meeting of the committee of creditors to the financial creditor he represents.

The authorised representative shall not act against the interest of the financial creditor here presents and shall always act in accordance with their prior instructions

The authorised representative shall file with the committee of creditors any instructions received by way of physical or electronic means, from the financial creditor he represents, for voting in accordance there with, to ensure that the appropriate voting instructions of the financial creditor here presents is correctly recorded by the interim resolution professional or resolution professional, as the case may be.

48. Write a brief note on the functions of the Insolvency and Bankruptcy Board of India.

Ans: write any 6-7 points for 3 marks

Section 196(1) of the Insolvency and Bankruptcy Code provides that the Board shall, subject to the general direction of the Central Government, perform all or any of the following functions namely:

(a) Register insolvency professional agencies, insolvency professionals and information utilities and renew, withdraw, suspend or cancel such registrations.

(aa) promote the development of, and regulate, the working and practices of, insolvency professionals, insolvency professional agencies and information utilities and other institutions, in furtherance of the purposes of this Code.
(b) Specify the minimum eligibility requirements for registration of insolvency professional agencies, insolvency professionals and information utilities.
(c) Levy fee or other charges for carrying out the purposes of this Code, including fee for registration and renewal of insolvency professional agencies, insolvency professionals and information utilities.
(d) Specify by regulations standards for the functioning of insolvency professional agencies, insolvency professionals and information utilities.
(e) Lay down by regulations the minimum curriculum for the examination of the insolvency professionals for their enrolment as members of the insolvency professional agencies.
(f) Carry out inspections and investigations on insolvency professional agencies, insolvency professionals and information utilities and pass such orders as may be required for compliance of the provisions of this Code and the regulations issued hereunder.
(g) Monitor the performance of insolvency professional agencies, insolvency professionals and information utilities and pass any directions as may be required for compliance of the provisions of this Code and the regulations issued hereunder.
(h) Call for any information and records from the insolvency professional agencies, insolvency professionals and information utilities.
(i) Publish such information, data, research studies and other information as may be specified by regulations.
(j) Specify by regulations the manner of collecting and storing data by the information utilities and for providing access to such data.
(k) Collect and maintain records relating to insolvency and bankruptcy cases and disseminate information relating to such cases.
(l) Constitute such committees as may be required including in particular the committees laid down in Section 197.
(m) Promote transparency and best practices in its governance.
(n) Maintain websites and such other universally accessible repositories of electronic information as may be necessary.
(u) Perform such other functions as may be prescribed

49. Write a short on the order of priority in which the proceeds from the sale of the liquidation assets shall be distributed under the Insolvency and Bankruptcy Code, 2016.

Ans: Section 53 deals with distribution of assets in liquidation. The Insolvency and Bankruptcy Code, 2016 makes significant changes in the priority of claims for distribution of liquidation proceeds. In case of liquidation, the assets will be distributed in the following order, in case of liquidation: (i) fees of insolvency professional and costs related to the resolution process, (ii) workmen's dues for the preceding 24 months and secured creditors, (iii) employee wages, (iv) unsecured creditors, (v) government dues and remaining secured creditors (any remaining debt if they enforce their collateral), (vi) any remaining debt, and (vii) shareholders. According to priority of claims, unsecured financial creditors shall be paid before the Government. This is intended to promote alternative sources of finance and the consequent development of bond markets in India.

50. Write a short note on the "Committee of Creditors".

Ans: Committee of Creditors is a committee typically consisting of the financial creditors of the Corporate Debtor. It is the supreme decision-making body in a Corporate Insolvency Resolution Process (CIRP). Decisions regarding the administration of the corporate debtor are taken at the meetings of the Committee, based on a requisite vote of the members. It is responsible for giving approval to the IRP/ RP to carry out actions that might affect the CIRP. The committee of creditors is composed of financial creditors of the corporate debtor as the financial creditors have the capability to assess the commercial viability of the corporate debtor and are willing to modify the terms of the debt contracts in negotiations between the creditors and the corporate debtor.

Section 21 and 24 of the Insolvency and Bankruptcy Code, 2016 has provisions relating to the committee of creditors. Section 21 deals with the constitution of committee of creditors while section 24 prescribes the modalities for the meeting of the committee of creditors. Section 28 of the Code lists out certain actions that may be taken by the resolution professional only with the prior approval of the committee of creditors by a vote of 66 percent of the voting shares.

51. Write a brief note on persons ineligible to be resolution applicants.

Ans: Section 29A provides that a person shall not be eligible to submit are solution plan, if such person, or any other person acting jointly or in concert with such person –

(a) is an undischarged insolvent;

(b) is a wilful defaulter in accordance with the guidelines of the Reserve Bank of India issued under the Banking Regulation Act, 1949

(d) has been convicted for any offence punishable with imprisonment – (i) for two years or more under any Act specified under the Twelfth Schedule; or (ii) for seven years or more under any law for the time being in force: Provided that this clause shall not apply

to a person after the expiry of a period of two years from the date of his release from imprisonment:

(e) is disqualified to act as a director under the Companies Act, 2013

(f) is prohibited by the Securities and Exchange Board of India from trading in securities or accessing the securities markets;

(g) has been a promoter or in the management or control of a corporate debtor in which a preferential transaction, undervalued transaction, extortionate credit transaction or fraudulent transaction has taken place and in respect of which an order has been made by the Adjudicating Authority under this Code.

52. Write a short note on voluntary liquidation of corporate persons under the Insolvency and Bankruptcy Code, 2016.

Ans: Voluntary liquidation allows a company to terminate its operations, sell off assets, and dismantle its corporate structure while paying back designated creditors based on their seniority.

As per Section 59(1) of the Code, a corporate person who intends to liquidate itself voluntarily and has not committed any default may initiate voluntary liquidation proceedings under the provisions of Chapter V of Part II of the Code.

To initiate voluntary liquidation proceedings, where the corporate debtor is a company, the directors have to provide a declaration of solvency and a declaration that the company is not being liquidated to defraud any person.

A resolution in favour of the voluntary winding up of the company and appointment of an insolvency professional as the liquidator has to be passed within four weeks of the declaration Where the company owes any debt to any person, creditors representing two-thirds in value of the debt of the company shall approve the resolution passed within seven days of such resolution.

53. Write a brief note on excluded asset.

Ans: “Excluded Assets” for the purposes of this part includes –

(a) unencumbered tools, books, vehicles and other equipment as are necessary to the debtor or bankrupt for his personal use or for the purpose of his employment, business or vocation;

(b) unencumbered furniture, household equipment and provisions as are necessary for satisfying the basic domestic needs of the bankrupt and his immediate family;

(c) any unencumbered personal ornaments of such value, as may be prescribed, of the debtor or his immediate family which cannot be parted with, in accordance with religious usage;

(d) any unencumbered life insurance policy or pension plan taken in the name of debtor or his immediate family; and

(e) an unencumbered single dwelling unit owned by the debtor of such value as may be prescribed [Section 79(14)].

54. What is financial information?

Ans: "Financial Information", in relation to a person, means one or more of the following categories of information, namely:–

(a) records of the debt of the person;

(b) records of liabilities when the person is solvent;

(c) records of assets of person over which security interest has been created;

(d) records, if any, of instances of default by the person against any debt;

(e) records of the balance sheet and cash-flow statements of the person; and

(f) such other information as may be specified [Section 3(13)].

55. State is the applicability of IBC.

Ans: The Insolvency and Bankruptcy Code, 2016 extends to the whole of India.

Section 2 of the Insolvency and Bankruptcy Code, 2016 provides that the provisions of the Code shall apply to –

(a) any company incorporated under the Companies Act, 2013 or under any previous company law,

(b) any other company governed by any special Act for the time being in force,

(c) any Limited Liability Partnership incorporated under the Limited Liability Partnership Act, 2008,

(d) such other body incorporated under any law for the time being in force, as the Central Government may, by notification, specify in this behalf,

(e) personal guarantors to corporate debtors,

(f) partnership firms and proprietorship firms; and

(g) individuals, other than persons referred to in clause (e) in relation to their insolvency, liquidation, voluntary liquidation or bankruptcy, as the case may be.

56. List the powers of the IP in CIRP?

Ans: Section 17(2) of the Code further provides that the interim resolution professional vested with the management of the corporate debtor, shall

(a) act and execute in the name and on behalf of the corporate debtor all deeds, receipts, and other documents, if any,

(b) take such actions, in the manner and subject to such restrictions, as may be specified by the Board,
(c) have the authority to access the electronic records of corporate debtor from information utility having financial information of the corporate debtor,
(d) have the authority to access the books of accounts, records and other relevant documents of corporate debtor available with government authorities, statutory auditors, accountants and such other persons as may be specified, and
(e) be responsible for complying with the requirements under any law for the time being in force on behalf of the corporate debtor.
Thus, section 17 lists out the various powers that an interim resolution professional shall have, including the power to do all acts and execute documents in the name of the corporate debtor as these powers are important for effective discharge of his responsibilities.

57. What is liquidation estate?

Ans: Section 36 provides for the creation of a liquidation estate comprising the assets of the corporate debtor as set out in section 36(3).
Assets to be included in the liquidation estate:
(a) any assets over which the corporate debtor has ownership rights, including all rights and interests therein as evidenced in the balance sheet of the corporate debtor or an information utility or records in the registry or any depository recording securities of the corporate debtor or by any other means as may be specified by the Board, including shares held in any subsidiary of the corporate debtor;
(b) assets that may or may not be in possession of the corporate debtor including but not limited to encumbered assets;
(c) tangible assets, whether movable or immovable;
(d) intangible assets including but not limited to intellectual property, securities (including shares held in a subsidiary of the corporate debtor) and financial instruments, insurance policies, contractual rights;
(e) assets subject to the determination of ownership by the court or authority;
(f) any assets or their value recovered through proceedings for avoidance of transactions in accordance with this Chapter;
(g) any asset of the corporate debtor in respect of which a secured creditor has relinquished security interest;
(h) any other property belonging to or vested in the corporate debtor at the insolvency commencement date; and
(i) all proceeds of liquidation as and when they are realised

58. What is a Resolution plan?

Ans: Resolution Plan" means a plan proposed by resolution applicant for insolvency resolution of the corporate debtor as a going concern in accordance with Part II. It may be noted that a resolution plan may include provision the restructuring of the corporate debtor, insolvency by way of merger, amalgamation and demerger [Section 5(26)].

A resolution plan shall provide for the measures, as may be necessary, for insolvency resolution of the corporate debtor for maximization of value of its assets including but not limited to the following:

(a) transfer of all or part of the assets of the corporate debtor to one or more persons;

(b) sale of all or part of the assets whether subject to any security interest or not;

(ba) restructuring of the corporate debtor, by way of merger, amalgamation and demerger;

(c) the substantial acquisition of shares of the corporate debtor, or the merger or consolidation of the corporate debtor with one or more persons

(ca) cancellation or delisting of any shares of the corporate debtor, if applicable;

(d) satisfaction or modification of any security interest

(e) curing or waiving of any breach of the terms of any debt due from the corporate debtor;

(f) reduction in the amount payable to the creditors;

(g) extension of a maturity date or a change in interest rate or other terms of a debt due from the corporate debtor

(h) amendment of the constitutional documents of the corporate debtor;

(i) issuance of securities of the corporate debtor, for cash, property, securities, or in exchange for claims or interests, or other appropriate purpose;

(j) change in portfolio of goods or services produced or rendered by the corporate debtor;

(k) change in technology used by the corporate debtor; and

(l) obtaining necessary approvals from the Central and State Governments and other authorities."

59. What do you understand by Fast track CIRP?

ANS: The main purpose behind the inclusion of the concept of fast track CIRP under the insolvency law was to improve the ease of business ranking of our country. Fast track CIRP proceedings aim to eliminate the excess delay which is caused due to the insolvency process of a small-scale company.

Section 55 of the Code of 2016 (through notification) states that an application for initiation of Corporate Insolvency Process can be made only against these below-mentioned corporate debtors:

1. Small-sized Companies (As defined under the Companies Act, 2013).
2. Start-up Company other than a Partnership Firm.
3. An Unlisted Company with total assets less than one crore rupees (as reported in the books of the preceding financial year).

The time period for the completion of the fast track insolvency as incorporated under the provisions of the Code of 2016 is ninety (90) days. This time period can be further extended for a period of forty-five (45) days. This extension can be granted only once.